

How Much Rationality Does the Model Assume?

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How much rationality do we assume in the model of slack:

- Households maximize utility subject to budget constraint $\rightarrow$ households do the best they can given their income / wealth.
- Households take as given & therefore anticipate the price of services $\rightarrow$ prices follow price norms that are by definition understood & followed by everybody
- Households take as given market tightness & therefore anticipate correct market tightness $\rightarrow$ a lot of rationality required w/ heterogeneous agents $\rightarrow$ can introduce statistical agency instead -
- ($\hookrightarrow$ If government announces tightness x , and households max. utility given x , then x will be realized
- $\rightarrow$ | Statistical agency | government provides correct forecast (which is their objective)
- $\rightarrow$ households do best they can b/c they use correct x